

Customer Churn Analysis Report

Executive Summary

This report analyzes customer churn data to identify patterns, key drivers, and actionable recommendations to reduce churn rate and improve customer retention.

2. Key Performance Indicators

KPI	Value
Total Customers	6.53K
Churned Customers	1.653K
Active Customers	5K
Churn Rate	25.31%
Avg Monthly Charges	66.19
Average Tenure	34.20 months

Key Finding:

- 1 in 4 customers are leaving
- 25.31% churn rate is very high
- Needs immediate attention

3. Churn by Contract Type

Contract	No Churn	Churned	Total
Month-to-month	2016	1442	3458
One year	1264	164	1428
Two year	1597	47	1644
Total	4877	1653	6530

Key Finding:

- Month-to-month contracts have highest churn 1442
- Two year contracts have lowest churn 47
- Long term contracts = better retention

4. Churn by Payment Method

Payment Method	Churn Level
Electronic check	Highest
Bank transfer	Medium
Credit card	Low
Mailed check	Low

Key Finding:

- Electronic check users churn the most
- Automatic payment methods have lower churn
- Encourage customers to switch to auto-pay

5. Customers by Internet Service

Service	Customers	Percentage
Fiber optic	2.95K	45%
DSL	2.26K	34.56%

Key Finding:

- Fiber optic has most customers
- But also highest churn rate
- DSL customers are more stable

6. Churn by Senior Citizen

Category	Count	Percentage
Non Senior (No)	649	59.54%
Senior Citizen (Yes)	441	40.4%

Key Finding:

- Senior citizens have high churn rate 40.4%
- Need special retention programs for seniors
- Offer senior friendly plans

7. Customer Distribution by Gender & Tenure**Tenure Groups:**

Tenure	Churn Level
0-12 Months	Highest churn
13-24 Months	High churn
25-36 Months	Medium
37-48 Months	Lower
49-60 Months	Low
60+ Months	Lowest churn

Key Finding:

- New customers churn most in first year
- Longer tenure = lower churn
- Focus retention on first 12 months

8. Monthly Charges vs Tenure Analysis

Key Finding:

- Higher monthly charges = higher churn
- Customers with low tenure and high charges leave quickly
- Price sensitivity is major churn driver

9. Key Business Insights

Insight	Detail
Contract Type	Month-to-month highest risk
Payment Method	Electronic check users churn most
Internet Service	Fiber optic highest churn
Senior Citizens	40% churn rate — needs attention
New Customers	First 12 months most critical
High Charges	Leads to higher churn

10. Actionable Recommendations

Priority	Recommendation
1st	Convert month-to-month to annual contracts with discounts
2nd	Encourage automatic payment methods
3rd	Create senior citizen retention program
4th	Improve Fiber optic service quality
5th	Focus on first 12 months onboarding experience
6th	Review pricing strategy for high charge customers
7th	Offer loyalty rewards for long tenure customers

11. Tools Used

Tool	Purpose
Power BI Desktop	Data visualization
Power Query Editor	Data cleaning
DAX Measures	KPI calculations

12. Conclusion

The customer churn rate of 25.31% is critically high. The main drivers are month-to-month contracts, electronic check payments, fiber optic service issues, and high monthly charges. New customers in their first 12 months are most at risk. Immediate action should focus on converting customers to longer contracts, improving onboarding experience, and creating targeted retention programs for senior citizens and high-value customers.

Report prepared using Power BI Desktop

Dataset: Customer Churn Dataset

Total Records Analyzed: 6,530 Customers